

Revision highlights

Check if you can:

1. classify a good into producer goods or consumer goods, and private goods or public goods;
2. classify an industry into primary, secondary or tertiary production;
3. identify the importance of different types of production to an economy and describe their interrelationships;
4. identify the types of division of labour involved in a situation;
5. state the advantages and disadvantages of division of labour, and the factors limiting it.

Key terms

goods 物品

services 服務

producer good 生產者物品

capital good 資本物品

consumer good 消費品

private good 私用品

rival in consumption 競爭性消費

excludable in consumption 可排他性消費

public good 共用品

non-rival in consumption 非競爭性消費

non-excludable in consumption 不可排他性消費

primary production 初級生產

secondary production 二級生產

tertiary production 三級生產

division of labour 分工

simple division of labour 簡單分工

complex division of labour 複雜分工

regional division of labour 區域分工

labour productivity 勞工生產力

Exam-type questions

1. A social media company has developed a new photo sharing app. It allows users to download the app free of charge. The app is
 - A. a consumer good from the viewpoint of the company because it is used by consumers.
 - B. a free good because everyone can download it.
 - C. a private good because it is owned by a private company.
 - D. a public good because one individual's consumption will not reduce its availability to others.
2. Which of the following statements about a public good is correct?
 - A. It must be provided by the government.
 - B. The opportunity cost of producing one extra unit of a public good is zero.
 - C. It is non-rival but excludable in consumption.
 - D. Different individuals can enjoy the same public good at the same time without affecting others.

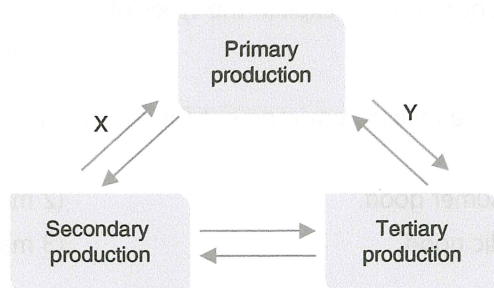
3. A free lunch provided by schools is a/an _____ because _____.
- economic good it satisfies human wants
 - free good it is free of charge
 - private good concurrent consumption is impossible
 - public good it is provided by government funding

4. William owns a café and he employs his friend, Leo, as a barista. William focuses on sourcing¹ and roasting² coffee beans, while Leo focuses on making coffee and serving customers.

Which of the following statements about the above case are correct?

- William engages in tertiary production.
 - William's café adopts simple division of labour.
 - Leo is a secondary producer.
 - The coffee machine operated by Leo is a capital good.
- (1) and (3) only
 - (1) and (4) only
 - (2) and (3) only
 - (2) and (4) only

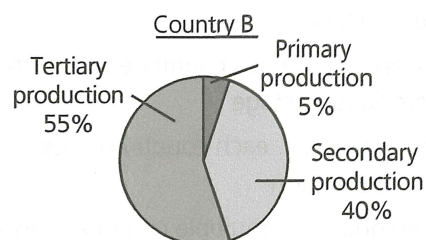
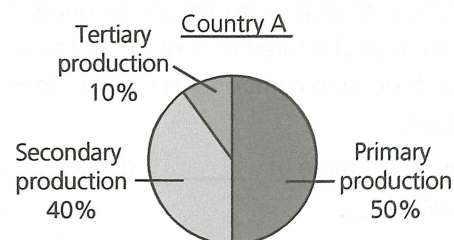
5. Refer to the following diagram:



X and Y stand for _____, respectively.

- raw materials and services
- producer goods and raw materials
- producer goods and services
- raw materials and producer goods

6. The following diagrams show the percentage share of different types of production in total employment in Countries A and B.



From the above data, we can conclude that:

- the number of secondary producers in Country A is the same as that in Country B.
- the relative importance of primary production in Country A is decreasing.
- the majority of workers in Country A are engaged in primary production.
- the total output value of tertiary production in Country A is smaller than Country B.

- ★7. Refer to the following table about the contribution to the total production value by economic activity:

	2020	2025
Primary production	5%	10%
Secondary production	20%	10%
Tertiary production	75%	80%

According to the above data, we can conclude that from 2020 to 2025,

- more workers are engaged in primary production.
- the number of workers engaged in tertiary production may decrease.
- workers engaged in secondary production become more productive.
- the contribution of tertiary production to total employment increases.

8. The production of smartphones often operates through global supply chains, where different stages of production take place in different countries. For example, a smartphone may be designed in one country, manufactured in another and assembled in yet another, with components sourced from various countries.

This is an example of _____ division of labour because _____.

- A. simple each country has its labour for production
- B. simple each country engages in a production stage
- C. regional each country has its own specialty of production
- D. regional multiple countries cooperate under the same company

9. A textbook publisher has different departments, such as editorial, accounting, marketing and design. Such an arrangement will lead to

- A. lower interdependence between workers.
- B. higher output per working hour.
- C. higher profit for the publisher.
- D. higher job satisfaction for employees.

11. Sunny Farm supplies organic vegetables to Hong Kong's restaurants every day. On weekends, it organises family tours, allowing parents and their children to experience farming. Explain the types of production in which Sunny Farm engages.

(4 marks)

12. A kindergarten broadcasts classical music in every classroom to create a relaxing environment for children during the lunch break.

(a) Explain whether the music broadcast is a capital good or a consumer good.

(2 marks)

(b) Explain whether the music broadcast is a private good or a public good.

(3 marks)

13. Refer to the following information.

DATA

In order to increase public housing supply and improve the living standards of people who currently live in inadequate housing, the Hong Kong government implements standardised and simplified designs to construct Light Public Housing¹ units on vacant land.

(a) Refer to the above information, in which type of production does the Hong Kong government engage? Explain.

(2 marks)

(b) Explain whether Light Public Housing units are public goods.

(3 marks)

10. In a restaurant, Amy, John and Ben have different responsibilities: Amy cooks the food and John serves the customers, while Ben washes the dishes. Which of the following is the advantage of this arrangement?

- (1) Tools can be more fully utilised.
- (2) A wider choice of goods can be provided.
- (3) Workers have a lower risk of unemployment.
- (4) Time is saved from moving around tasks.

A. (1) and (3) only

B. (1) and (4) only

C. (2) and (3) only

D. (2) and (4) only

14. A Chinese restaurant has chefs, waiters, cashiers and managers. What economic principle is illustrated in the above case? State THREE reasons why this principle can raise labour productivity. (4 marks)
- ★ 15. Jason runs a private tutorial centre by himself.
- (a) In which type of production does Jason engage? Explain. (2 marks)
 - (b) Which type of division of labour is observed in the above case? (1 mark)
 - (c) After three months, Jason decides to hire Susan as a teaching assistant to teach Mathematics and Anna to teach English.
Suggest THREE reasons why the above arrangement can increase labour productivity. (6 marks)
 - (d) Unfortunately, Anna quits her job after specialising in teaching English for two years, even though she finds the salary and welfare more than satisfactory.
Explain ONE possible reason why Anna quit her job. (2 marks)

Extended activities

1. Select a food item commonly found in supermarkets. Research its journey from farm to table, covering primary, secondary and tertiary production stages. Present your findings in class to show the interdependence between different types of production.
2. Study the division of labour in any firm or organisation, such as a fast-food shop or a secondary school. Identify how tasks are divided and specialised. Analyse the benefits of this practice. Present your findings in class.